B

1. (a) $np = (16)(0.6) = 6.4 > 5$, and $n(1-p) = 16(0.4) = 9.6 > 5$.
It is OK to assume normality.

(b) $SE_{\hat{p}} = \sqrt{\frac{p(1-p)}{n}}$

(c) $SE_{\hat{p}} = \sqrt{\frac{(0.6)(0.4)}{16}} = 0.1225$

2. (a) Cases are manufactured parts

(b) Is it defective (yes or no)

(c) p = proportion among all parts which are defective

3. Option (ii)

4. You can be certain of the result being significant at the 10% level. Significance at the 5% level necessarily means the p-value in under 0.05. Thus, it is also below 10%.